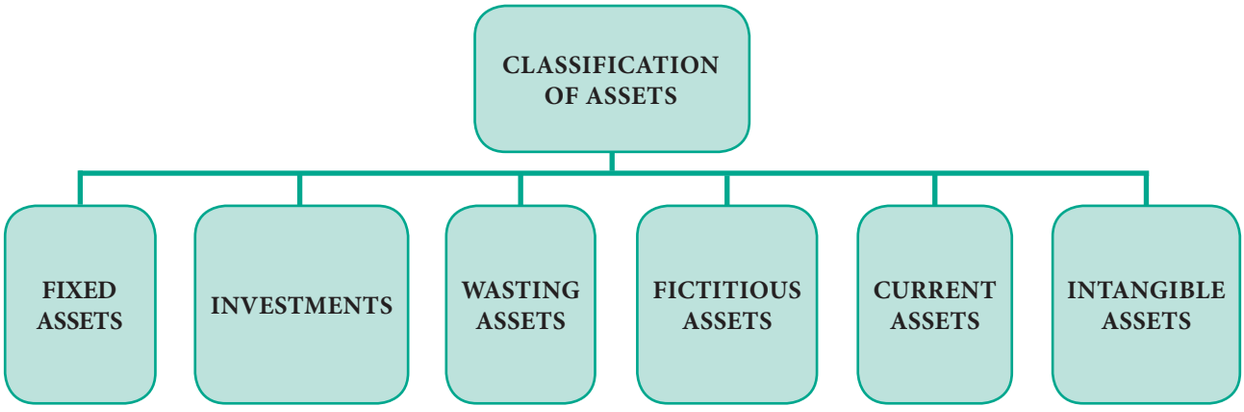
S. No.	Basis	Verification	Valuation
1.	Meaning	Verification establishes existence, ownership and acquisition of assets.	Valuation certifies correctness of the value of assets and liabilities.
2.	Evidence	The title deed, receipt for payments constitutes documentary evidence for verification.	The Certificate offered by the owner or directors or experts is the documentary evidence for valuation.
3.	Checking	The auditor is required to verify whether the value ascertained is fair one or not.	Critical examination of the value of assets and comparative analysis of different assets.
4.	View	Verification includes apart from valuation, the examination of ownership right, the existence of the asset in the business and its freeness from any sort of charge.	Testing the exact value of an asset on the basis of its utility.
5.	Work	Verification is a final work.	Valuation is the initial work and it need to be verified subsequently.
6.	Personnel	Verification is the work of auditor.	Valuation is the work of concerned authority or board(company).
7.	Time	Verification is made at the end of the year.	Valuation is made throughout the year.

4.3 Classification of Assets



1. **Fixed Assets**

   Fixed assets are utilized to create incomes.

2. **Investments**

   Investments are expected to fetch income from external agencies.

3. **Wasting assets**

   Wasting assets are of a fixed nature but depleted or consumed gradually.

4. **Fictitious Assets**

   Assets, which have no market values, are known as fictitious assets. They are shown in the Balance Sheet on the asset side of it under the head "Miscellaneous Expenditure".

5. **Current Assets.**

   Current assets are those which are utilized or converted into cash within one year period.

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